

Penrith Selective High School

2021

Trial HSC
Examination

RESULTS SUMMARY

(for examiner use only)

Section I	/20
Section II	/40
Section III	/20
Section IV	/20
TOTAL (%)	/100

Business Studies

General Instructions

- Reading time – 5 minutes
- Working time – 3 hours
- Write using black pen
- Calculators approved by NESA may be used

Total marks: 100

Section I – 20 marks (pages 3–8)

- Attempt Questions 1–20
- Allow about 35 minutes for this section

Section II – 40 marks (pages 9–18)

- Attempt Questions 21–24
- Allow about 1 hour and 15 minutes for this section

Section III – 20 marks (page 20)

- Attempt Question 25
- Allow about 35 minutes for this section

Section IV – 20 marks (page 21)

- Attempt either Question 26 or Question 27
- Allow about 35 minutes for this section

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Section I

20 marks

Attempt Questions 1–20

Allow about 35 minutes for this section

Use the multiple-choice answer sheet on page 23 for Questions 1–20.

1. Martha is employed by a business to develop a financial forecast and compare actual and planned results.

In which specific business function is she most likely to be engaged?

- A. Finance
- B. Human Resources
- C. Marketing
- D. Operations

2. To regain lost market share, a business launches a new product which is very similar to a product already sold by its major competitor. The business decides to sell this new product at a price 25% below the price of its cheapest competitor.

Which of the following best describes the approach to pricing the new product being used by the business?

- A. a market method and a skimming strategy
- B. a market method and a penetration strategy
- C. a competition-based method and a skimming strategy
- D. a competition-based method and a penetration strategy

3. Which of the following identifies only long-term borrowing?

- A. mortgage, debentures, leasing
- B. debentures, unsecured notes, commercial bills
- C. overdraft, factoring, mortgage
- D. accounts payable, unsecured notes, leasing

4. A business imports electronic components from Japan to produce their desktop computers.

Which of the following represents the greatest financial risk?

- A. a depreciation of the Australian dollar
 - B. an appreciation of the Australian dollar
 - C. an increase in foreign interest rates
 - D. non-payment
5. An ice cream manufacturing business employs additional staff and leases additional refrigerated storage space in September.

This is most likely a result of which influence on the transformation process?

- A. Volume
 - B. Variety
 - C. Variation in demand
 - D. Visibility
6. A public company wishes to raise additional equity finance by offering existing shareholders the privilege to buy new shares.

This method of raising equity financing is called:

- A. new issue
 - B. rights issue
 - C. placement
 - D. share purchase plan
7. Which of the following items appears in both a Balance Sheet and an Income Statement?
- A. Cash
 - B. Sales
 - C. Opening Stock
 - D. Net Profit

Refer to the diagram below to answer questions 8 and 9.

<i>Activity</i>	<i>Jan</i>	<i>Feb</i>	<i>Mar</i>	<i>Apr</i>	<i>May</i>	<i>Jun</i>
Design and develop new product	■					
Task design and process layout		■	■			
Purchase materials		■	■	■		
Train and develop staff			■	■	■	■
Test new production technology					■	■
Commence production						■

8. This chart would most likely be used by a business to assist with which function?
- Monitoring and controlling
 - Sequencing and scheduling
 - Training and development
 - Distribution of payments
9. This process shows that there is an interdependence between which two business functions?
- Operations and Marketing
 - Operations and Human Resources
 - Marketing and Human Resources
 - Finance and Operations
10. In a business, a manager is dealing with issues in transport, warehousing and inventory.
- Which function of business is being managed?
- Marketing is dealing with physical distribution issues.
 - Finance is dealing with control of current assets
 - Operations is dealing with supply chain management
 - Human Resources is dealing with workplace disputes.

- 11.** Which of these statements applies to a business operating at its break-even level of sales?
- A. Fixed costs exceed variable costs
 - B. Variable costs exceed fixed costs
 - C. Sales revenue equals variable costs minus fixed costs
 - D. Net profit is zero
- 12.** A salesperson approaches a consumer to ask a few questions, pretending it is for market research, but her hidden motive is to sell a product.

Which of the following unethical practises is the salesperson engaging in?

- A. Bait and switch
 - B. Deceptive and misleading advertising
 - C. Sugging
 - D. Collection of data from primary sources
- 13.** Which of the following is not a financial cost of change management?
- A. Reorganising plant layout
 - B. Redundancy payments
 - C. Retraining
 - D. Inertia
- 14.** Which of these steps in the marketing process are in the correct order?
- A. Market research; situational analysis; implementation, monitoring, controlling
 - B. Establishing market objectives; identifying target markets; developing marketing strategies
 - C. Establishing marketing objectives; developing marketing strategies; identifying target markets
 - D. Implementation, monitoring, controlling; identifying target markets; developing marketing strategies

15. The following financial data is available for a business.

	\$
Current Assets	12000
Non-current Assets	40000
Current Liabilities	6000
Non-current Liabilities	40000
Net Profit	2000
Gross Profit	4000
Sales	8000

What would be the major concern for a stakeholder in this business?

- A. Liquidity (*current assets ÷ current liabilities*)
- B. Gearing (*total liabilities ÷ total equity*)
- C. Profitability (*net profit ÷ sales*)
- D. Efficiency (*total expenses ÷ sales*)

16. Marketing objectives are a strategy used to manage which aspect of financial management?

- A. Profitability
- B. Liquidity
- C. Efficiency
- D. Solvency

17. A fashion store creates an image using modern music and graffiti.

What marketing strategy is being used to appeal to its target market?

- A. Product
- B. Promotion
- C. People
- D. Physical Evidence

- 18.** A business launches a new anti-perspirant for young men and uses a well known sports personality in its advertising.

What factor influencing customer choice is the business using to persuade the target market?

- A. Socio-cultural
- B. Economic
- C. Psychological
- D. Government

- 19.** What advantage is likely to occur when a business achieves economies of scale?

- A. Greater good/service differentiation
- B. Improved cost leadership
- C. Greater social responsibility
- D. Improved environmental sustainability

- 20.** In a production line a sample is taken from each batch and colour matched against a standard to assess the quality of the finish.

What is this business engaged in?

- A. Quality assurance
- B. Quality improvement
- C. Quality control
- D. Quality compliance

2021

**Trial HSC
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Business Studies

Section II

40 marks

Attempt Questions 21–24

Allow about 1 hour and 15 minutes for this section

Instructions

- Write your Student Number on every page.
 - Answer the questions in the spaces provided. These spaces provide guidance for the expected length of response.
 - Extra writing space is provided on page 19. If you use this space, clearly indicate which question you are answering.
-

Please turn over

Question 21 (11 marks)

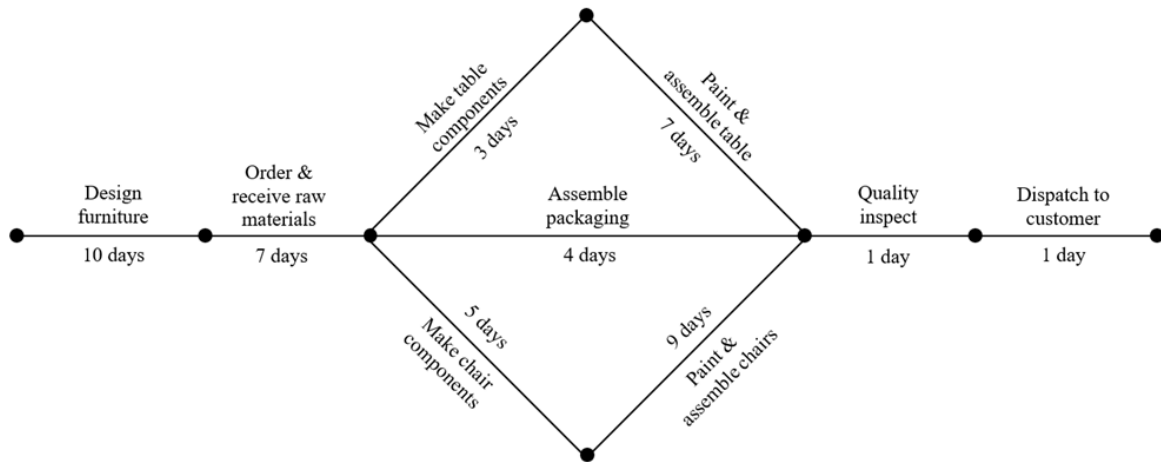
- (a) Distinguish between *transformed resources* and *transforming resources*. **2**

- (b) Explain the influence of variation in demand on transformation processes. **3**

Question 21 continues on page 11

Question 22 (7 marks)

Use the information provided to answer parts (a) and (b).



- (a) Calculate the critical path for this business.

1

Question 22 continues on page 13

Question 23 (12 marks)

Use the information provided to answer parts (a), (b), (c) and (d).

Balance Sheet of Local Couriers as at 30th June 2021				
	2020 (\$)		2021 (\$)	
Current Assets				
Cash	4000		20000	
Inventory	9000		14000	
Accounts Receivable	24000	37000	20000	54000
Non-current Assets				
Equipment	54000		39000	
Motor Vehicles	82000	136000	88000	127000
Total Assets		173000		181000
Current Liabilities				
Bank Overdraft	3600		4000	
Accounts Payable	12400	16000	12000	16000
Non-current Liabilities				
Loan	96000	96000	96000	96000
Total Liabilities		112000		112000
Owner's Equity				
Capital	42000		48000	
Net profit	27000		42000	
<i>Less Drawings</i>	8000		21000	
Total Owner's Equity		61000		69000

Additional Information		
Sales		Trade Credit Policy
2020	\$156000	40 days
2021	\$186000	

Question 23 continues on page 15

Question 23 (continued)

- (a) Calculate the change in Local Couriers' working capital between 2020 and 2021. Show your working. 2

- (b) Using the accounts receivable turnover ratio ($\text{sales} \div \text{accounts receivable}$), calculate and comment on the efficiency of Local Couriers between 2020 and 2021. 3

Question 23 continues on page 16

Question 23 (continued)

- (c) Using the return on equity ratio (*net profit ÷ total equity*), calculate and comment on the profitability of Local Couriers between 2020 and 2021. **3**

- (d) Explain how ‘normalised earnings’ AND ‘capitalising expenses’ could affect the financial statements of Local Couriers. **4**

End of Question 23

Question 24 (10 marks)

Use the information provided to answer parts (a), (b) and (c).

Merino Pty Ltd is a market leader in manufacturing high quality, Australian made woollen garments. Their clothing is popular with overseas tourists and Australians in the 40+ age group. The clothing is sold through specialty stores in tourist hot spots and department stores in major cities and towns. Recently, sales are falling due to a drop in tourism, and they wish to expand their product range to target a younger age group

- (a) Identify ONE strength for this business. **1**

- (b) Outline a market research process this business could use prior to developing the new product. **4**

Question 24 continues on page 18

Section II extra writing space

If you use this space, clearly indicate which question you are answering

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Business Studies

Section III

20 marks

Attempt Question 25

Allow about 35 minutes for this section

Answer the question in the Sections III and IV Writing Booklet. Extra writing booklets are available.

Your answer will be assessed on how well you:

- demonstrate knowledge and understanding relevant to the question
 - apply the hypothetical business situation
 - communicate using relevant business terminology and concepts
 - present a sustained, logical and cohesive response in the form of a business report
-

Question 25 (20 marks)

NatureCare is an Australian manufacturer of personal health care products. Seventy percent (70%) of its sales are exports to Asia and the Pacific regions, with the bulk of these sales going to China. The products are sold through department stores and supermarkets. Australia is recognised by overseas consumers as having a clean and green environment with good quality products and brands. NatureCare has already taken advantage of this competitive edge and has positioned itself as a supplier of premium quality women's and men's skincare and hair care products.

NatureCare is experiencing a number of challenges:

- Non-payment issues
- Strong competition from other countries
- A potentially strengthening Australian dollar
- Increasing cost of doing business in China

NatureCare believes there is an opportunity to expand its product range to include baby care products.

The Finance Manager and the Marketing Manager of NatureCare have jointly requested that you write a report in which you:

- Describe TWO global financial management issues.
- Explain the importance of positioning the new product range correctly.
- Recommend a place/distribution strategy for the new product range.

Section IV

20 marks

Attempt either Question 26 or Question 27

Allow about 35 minutes for this section

Answer the question in the Sections III and IV Writing Booklet. Extra writing booklets are available.

Your answer will be assessed on how well you:

- demonstrate knowledge and understanding relevant to the question
 - apply relevant business case study/ studies and contemporary business issues
 - communicate using relevant business terminology and concepts
 - present a sustained, logical and cohesive response
-

Question 26 (20 marks)

Analyse the influence of the current legal framework on the human resource management processes of acquisition and maintenance.

OR

Question 27 (20 marks)

Analyse the influence of the current legal framework on the human resource management processes of development and separation.

End of paper

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Section I – Multiple Choice Answer Sheet

Question	Correct Answer (Circle)			
1	A	B	C	D
2	A	B	C	D
3	A	B	C	D
4	A	B	C	D
5	A	B	C	D
6	A	B	C	D
7	A	B	C	D
8	A	B	C	D
9	A	B	C	D
10	A	B	C	D
11	A	B	C	D
12	A	B	C	D
13	A	B	C	D
14	A	B	C	D
15	A	B	C	D
16	A	B	C	D
17	A	B	C	D
18	A	B	C	D
19	A	B	C	D
20	A	B	C	D

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12 Business Studies MOCK TRIAL 2021

Section I

1.	2.	3.	4.	5.	6.	7.	8.	9.	10.
C	D	A	A	C	B	D	B	B	A
11.	12.	13.	14.	15.	16.	17.	18.	19.	20.
D	C	D	B	B	A	D	C	B	C

Section II

21.

(a)

Criteria	Marks
• Demonstrates a clear understanding of the difference between transformed resources and transforming resources.	2
• Provides some relevant information about transformed resources and transforming resources.	1

Answer could include:

- Transformed resources are those inputs that are changed or converted in the operations process
- Transforming resources are those inputs that carry out the transformation process.
- A distinguishing feature can include the involvement in the change (carry out the change or are changed).

(b)

Criteria	Marks
• Clearly makes the relationship evident between variation in demand and the transformation process.	3
• Sketches in general terms how variation in demand influences the transformation process.	2
• Makes a general statement about variation in demand or the transformation process.	1

Answer could include:

- Variation in demand - the amount of product desired by a customer
- Impact on transformation processes:
 - Sequencing and scheduling
 - Technology, task design and process layout
 - Monitoring, control and improvement
 - Predicting demand and the necessary inputs (raw materials) from suppliers, labour (available, skilled, flexible), facilities (enough capital equipment (e.g. machinery) to increase volume of production)

(c)

Criteria	Marks
• Provides detailed points for and/or against the balance between cost and quality with reference to a business	6
• Provides points for and against the balance between cost and quality with reference to a specific business	5
• Provides characteristics and features of cost and quality with reference to a business	4
• Provides characteristics and features of cost and/or quality	3
• Sketches in general terms cost and/or quality	2
• Makes reference to cost/quality	1

Answer could include:

- Cost and quality operations - when the quality of a product increases usually the cost of producing it also increases. An implication is that these products tend to have higher prices as businesses pass higher costs onto consumers.
- Integration of case study/studies.

22.

(a)

Criteria	Marks
• Correctly calculates the critical path as 33 days.	1

(b)

Criteria	Mark
• Clearly identifies and provides reasons in favour of TWO operations strategies to shorten the critical path	6
• Identifies and provides reasons in favour of TWO operations strategies the business can to shorten the critical path	5
• Provides characteristics and features of ONE operations strategy the business can use to shorten the critical path and sketches in general terms ONE operations strategy the business could use	4
• Sketches in general terms TWO operations strategies to shorten the critical path	3
• Sketches in general terms ONE operations strategies	2
• Identifies an operations strategy	1

Answer could include:

- performance objectives – quality, speed, dependability, flexibility, customisation, cost

- new product or service design and development
- supply chain management – logistics, e-commerce, global sourcing
- outsourcing – advantages and disadvantages
- technology – leading edge, established
- inventory management – advantages and disadvantages of holding stock, LIFO, FIFO, JIT
- quality management
- overcoming resistance to change – financial costs, purchasing new equipment, redundancy payments, retraining, reorganising plant layout, inertia
- global factors – global sourcing, economies of scale, scanning and learning, research and development

23.

(a)

Criteria	Mark
• Correctly calculates the change in working capital as \$17,000 and shows correct working.	2
• States correct working for working capital but incorrect final calculation OR • Provides correct answer only	1

Answer could include:

- Working capital in 2020 = \$37,000 - \$16,000 = \$21,000
- Working capital in 2021 = \$54,000 - \$16,000 = \$38,000

b)

Criteria	Marks
• Correctly calculates and comments on the efficiency (sales ÷ accounts receivable) of Local Couriers	3
• Correctly calculates the efficiency of Local Couriers and provides a brief comment.	2
• Correctly calculates the accounts receivable turnover ratio for Local Couriers	1

Answer could include:

- ARTR 2020 = \$156,000 / \$24,000 = 6.5 times (365 / 6.5 = 56.2 days)
- ARTR 2021 = \$186,000 / \$20,000 = 9.3 times (365 / 9.3 = 39.2 days)
- The efficiency of Local Couriers has improved from 2020 to 2021. The accounts receivable collection has decreased from approximately 56.2 days in 2020 to 39.2 days in 2021. The change has also been positive in comparison to the trade credit policy of 40 days for Local Couriers.

(c)

Criteria	Mark
• Correctly calculates and comments on the profitability (net profit ÷ total equity) of Local Couriers	3
• Correctly calculates on the profitability of Local Couriers and provides a brief comment	2
• Correctly calculates return on equity for Local Couriers	1

Answer could include:

- ROE 2020 = \$27,000 / \$61,000 * 100/1 = 44.26%
- ROE 2021 = \$42,000 / \$69,000 * 100/1 = 60.86%
- The profitability of Local Couriers in regards to return on equity improved from 2020 to 2021. The owners return in 2020 was 44.26% and this increased to 60.86% in 2021. This means that for every \$1 of equity contributed by the owners, they received 44 cents in return in 2020 and 60 cents in return in 2021. The returns in 2020 and 2021 were both considered favourable in comparison to alternate options (e.g. interest).

(d)

Criteria	Marks
• Provides how and/or why normalised earnings and capitalising expenses could affect the financial statements for Local Couriers.	4
• Provides how and/or why normalised earnings or capitalising expenses could affect the financial statements for Local Couriers and identifies the other.	3
• Provides how and/or why normalised earnings or capitalising expenses could affect the financial statements for Local Courier OR • Makes a general statement about normalised earnings and capitalising expense for Local Couriers	2
• Makes a general statement about normalised earnings or capitalising expenses	1

Answer could include:

- Normalised earnings - adjusted to take into account irregular or one-time influences or take into account the changes in the economic cycle. Potential impact on Local Couriers could include adjusting the data for 2020 in response to the economic downturn experienced by the COVID19 pandemic. This would lead to more accurate representation of the true earnings of the business.
- Capitalising expenses - the business records an expense as an asset (e.g. R&D) on the balance sheet rather than an expense on

the income statement. Potential impact on Local Couriers would be an increase in NCA on the balance sheet, which would lead to an improved financial position. It would lead to a decrease in expenses on the income statement and lead to an improvement in the reported financial performance of the business.

24.

(a)

Criteria	Marks
Correctly names a strength for Merino Pty Ltd.	1

Answer could include:

- Quality perception of their products

(b)

Criteria	Marks
Sketches in general terms a market research process Merino Pty Ltd could use prior to developing the new product	4
Provides characteristics and features of a market research process Merino Pty Ltd could use for the new product	3
Provides characteristics and features of market research	2
Makes a statement about market research	1

Answer could include:

- Determining information needs
- Data collection - primary and secondary data
- Data analysis and interpretation

(c)

Criteria	Marks
Clearly identifies and provides reasons in favour of ONE promotional strategy Merino Pty Ltd could use prior to the launch of the new product.	5
Identifies and provides reasons in favour of ONE promotional strategy Merino Pty Ltd could use prior to the launch of the new product.	4
Provides characteristics of ONE promotional strategy Merino Pty Ltd could use prior to the launch of the new product.	3
Sketches in general terms a promotional strategy	2
Makes reference to promotional strategies	1

Answer could include:

- Advertising
- Personal selling
- Sales promotion
- Publicity and public relations
- The communication process- opinion leaders and word of mouth

Section III

25

Criteria	Marks
● Provides detailed characteristics and features of TWO global financial management issues ● Provides detailed reasons showing why and/or how positioning is important for the new product range ● Provides detailed reasons in favour of ONE appropriate place/distribution strategy for NatureCare's new product range ● Makes effective use of the information provided, demonstrating extensive knowledge and understanding relevant to the question ● Presents a sustained, logical and cohesive business report integrating relevant business terminology and concepts	17 - 20
● Provides characteristics and features of TWO global financial management issues ● Provides reasons showing why and/or how positioning is important for the new product range ● Provides reasons in favour of ONE appropriate place/distribution strategy for NatureCare's new product range ● Makes some use of the information provided, demonstrating some knowledge and understanding relevant to the question ● Presents a logical and cohesive business report integrating relevant business terminology and concepts	13 - 16
● Sketches in general terms TWO global financial management issues OR provides characteristics and features of ONE global financial management issue ● Provides characteristics and features of positioning ● Provides characteristics and features of a place/distribution strategy ● Includes features of a business report and uses some business terminology and concepts	9 - 12
● Identifies a global financial management ● Sketches in general terms positioning ● Sketches in general terms a place/distribution strategy ● May include some features of a business report and uses some basic business terminology	5 - 8
● Refers to finance and/or marketing ● Uses basic business terminology	1 - 4

Answer could include:

- Global Financial Management
 - Exchange rates
 - Interest Rates
 - Methods of international payment
 - Hedging
 - Derivatives
- Positioning
- Place/distribution
 - distribution channels
 - channel choice – intensive, selective, exclusive
 - physical distribution issues – transport, warehousing, inventory

Section IV

26

Criteria	Marks
•	17 - 20
•	13 - 16
•	9 - 12
•	5 - 8
•	1 - 4

Answer could include:

-

Criteria	Marks
•	17 - 20
•	13 - 16
•	9 - 12
•	5 - 8
•	1 - 4

Answer could include:

-